BERKADIA

SELECT MARKET

SAN JOSE

MULTIFAMILY MARKET REPORT
MID-YEAR | 2026



Click the slide or use arrow keys to view presentation

Jobs Added / Lost

LAST 12 MONTHS
13,800

1.2% YOY

Unemployment

JUNE 2026
4.1%

30 BPS YOY

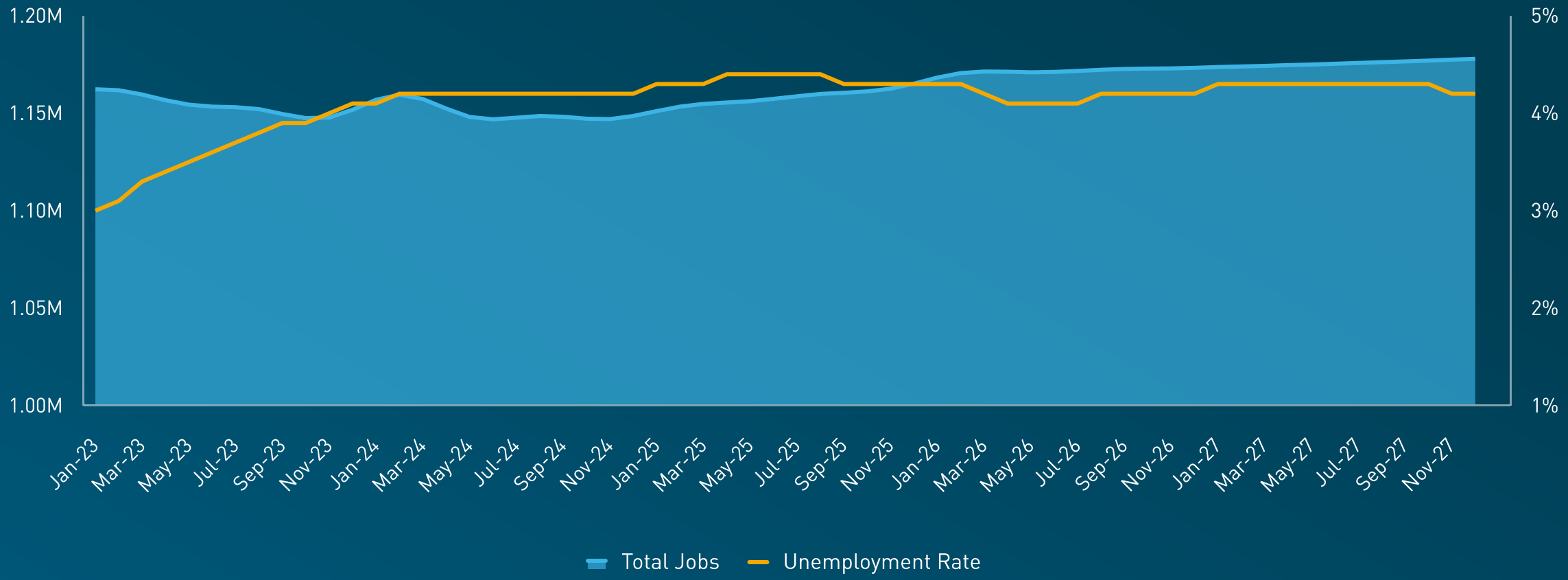
Employment

The San Jose metropolitan area entered mid-2026 with one of the strongest labor-market performances among major U.S. technology hubs, demonstrating that Silicon Valley's economy is becoming increasingly diversified beyond its traditional dependence on the technology industry. Over the 12-month period from June 2025 to June 2026, total nonfarm employment increased at a seasonally adjusted rate of 1.2%, or by 13,800 net jobs. The private education and health services sector accounted for an overwhelming share of that growth, which added 12,900 net positions over the last 12 months. These gains highlight the demand for healthcare with Santa Clara County's long-term demographic pressures associated with population growth and aging residents. Several major healthcare expansion announcements help explain this employment surge. Sutter Health has embarked on one of the largest healthcare investments in Silicon Valley history, including plans for a new flagship medical center in Santa Clara and a broader multibillion-dollar expansion. Kaiser Permanente's ongoing replacement and expansion of its San Jose Medical Center provides another important driver. These developments had immediate impact outside the private education and health services sector as hiring was also robust in the construction industry with 3,200 additional workers added to payrolls in the last year. Beyond healthcare project, investments by technology companies in the market are creating construction labor. In June 2026, Microsoft's new Alviso data center campus broke ground and will employ more than 600 workers at peak construction.

BERKADIA

© 2026 Berkadia Proprietary Holding

Employment Trends



Source: Moody's Analytics

BERKADIA

© 2026 Berkadia Proprietary Holding

Deliveries & Absorption

Trailing Four Quarters

DELIVERIES
1,002 UNITS

NET ABSORPTION
2,279 UNITS

Next Four Quarters*

DELIVERIES
1,494 UNITS

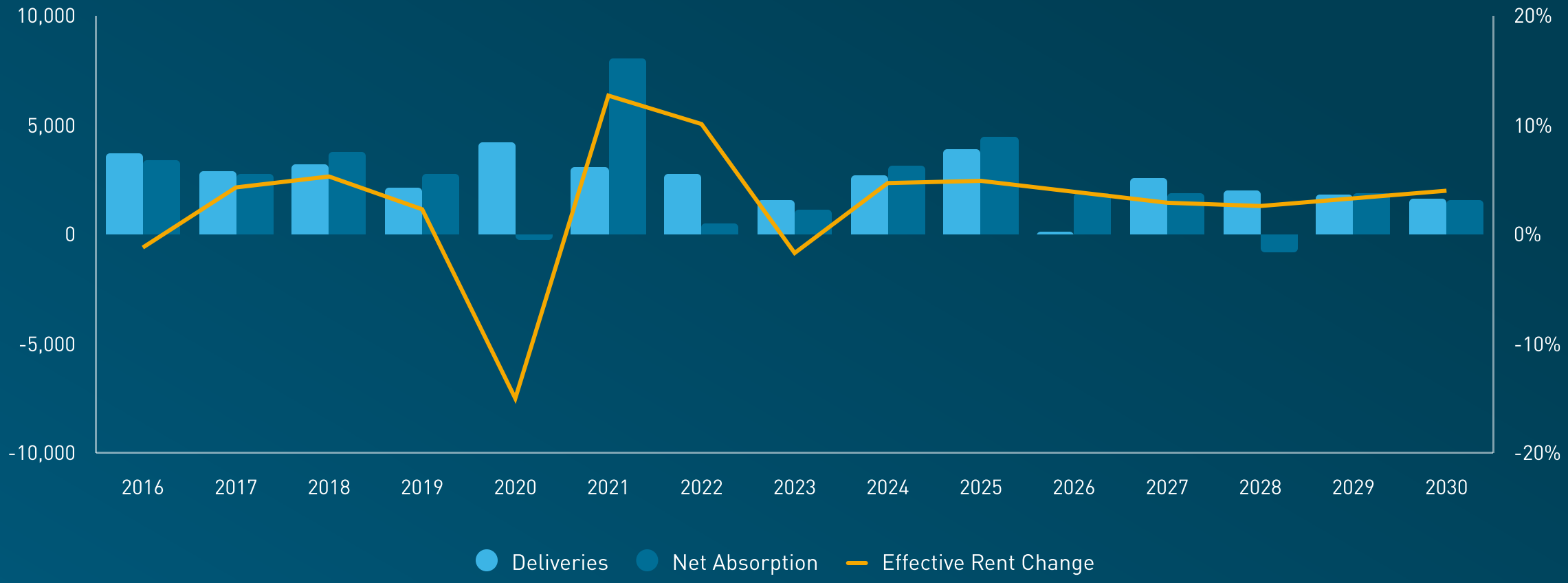
NET ABSORPTION
1,263 UNITS

*Projected

The construction pipeline has decelerated across the San Jose apartment market over the past year, creating an increasingly favorable backdrop for investors. Last year was the most recent peak in multifamily deliveries since 2020. A sharp reduction in additions is expected this year because of tougher lending standards, rising construction expenses, and elevated financing costs rather than weakening housing demand. Over the last four quarters, 2,279 more units were newly occupied than vacated in Greater San Jose. Resilient leasing activity was underpinned by the enduring strength of Silicon Valley's employment base, exceptionally high homeownership costs, and continued preference for rental housing among many residents. A second defining characteristic of the market is the geographic concentration of both supply and demand within the Santa Clara submarket. All deliveries over the last four quarters have been in the submarket. Santa Clara provides proximity to major employment centers, transit infrastructure, and redevelopment sites that can accommodate higher-density multifamily projects. In contrast, many other portions of the market face more limited development opportunities due to land constraints, established neighborhoods, or entitlement challenges. Santa Clara has also captured nearly half of all net units absorbed marketwide over the past year due in part to its large pool of affluent renters seeking newly delivered, amenity-rich housing.

© 2026 Berkadia Proprietary Holding

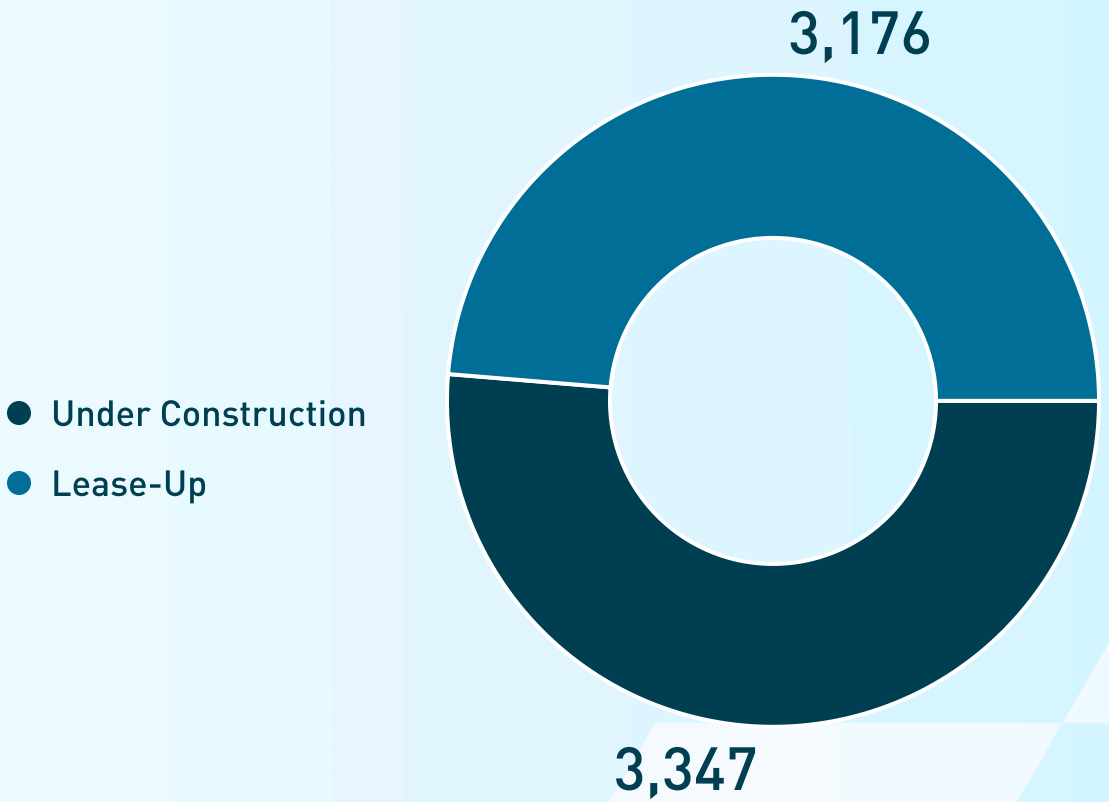
Deliveries, Net Absorption, & Effective Rent Change



Source: RealPage

© 2026 Berkadia Proprietary Holding

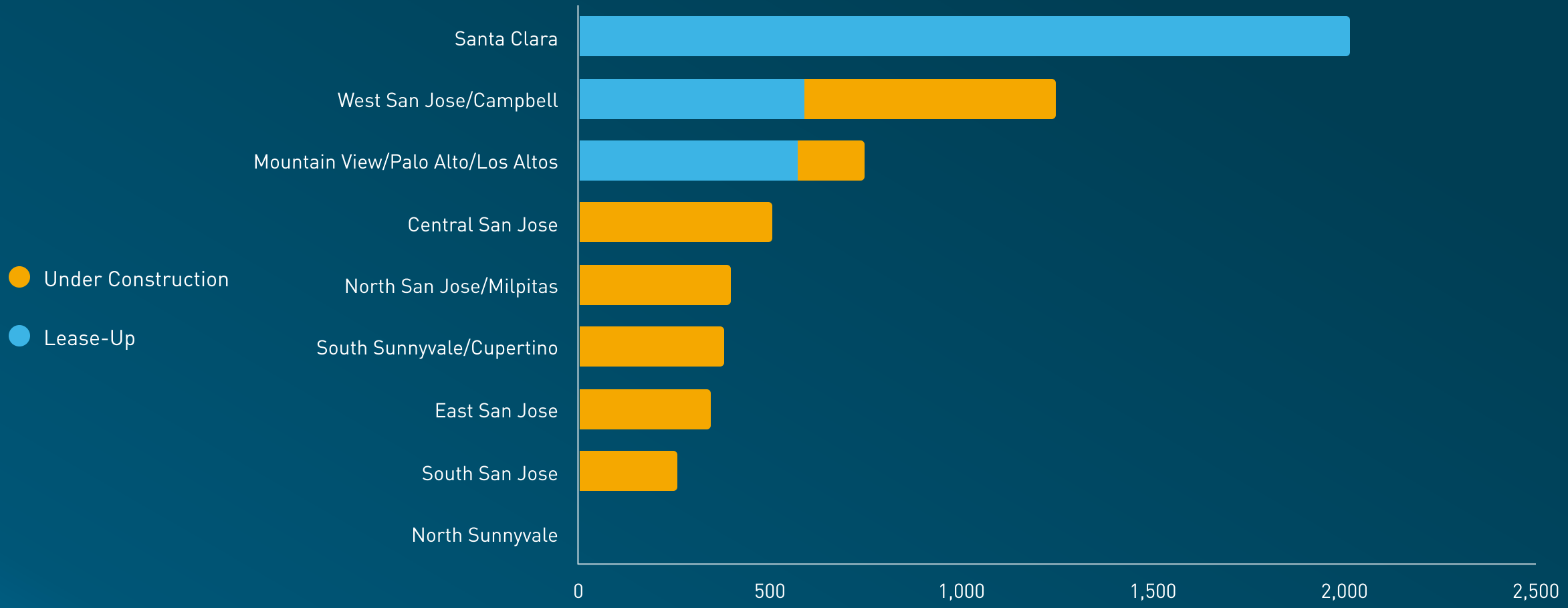
San Jose Pipeline



Source: RealPage

© 2026 Berkadia Proprietary Holding

Largest Submarket Pipelines



Source: RealPage

BERKADIA

© 2026 Berkadia Proprietary Holding

Rent & Occupancy

Effective Rent

Q2 2026
$3,538



7.5% YOY

Occupancy

Q2 2026
97.4%



70 BPS YOY

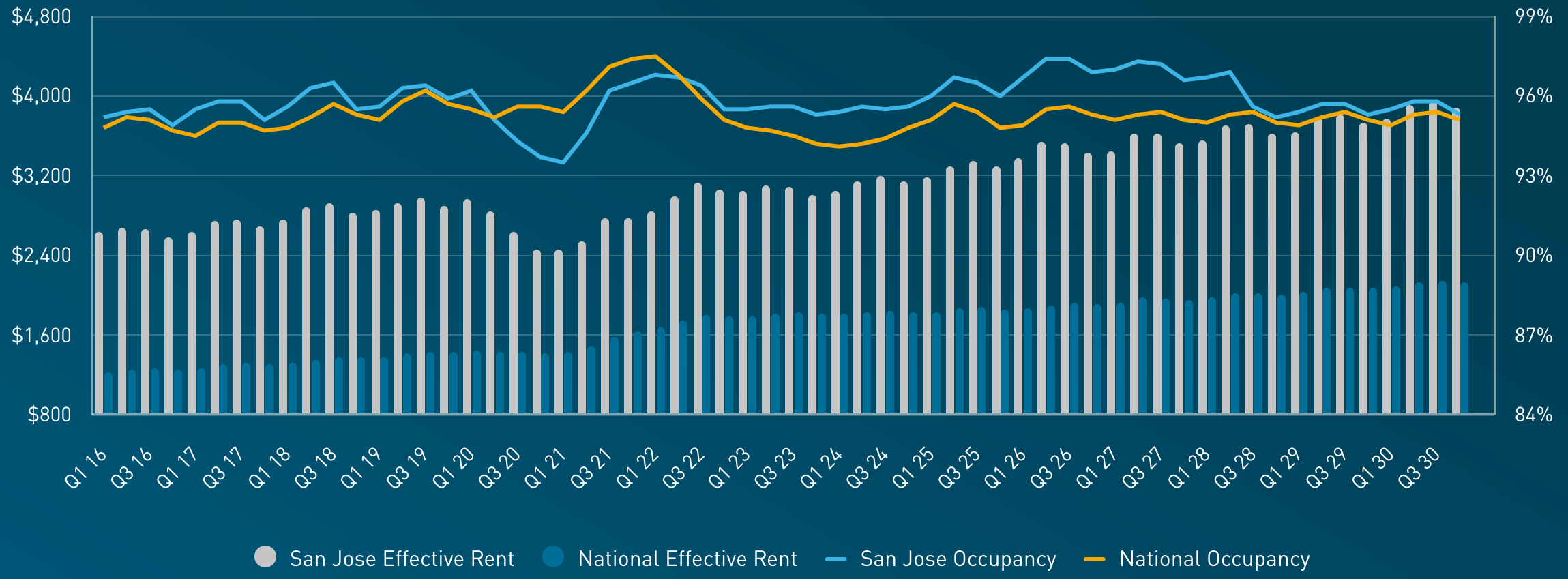
Over the past year, the San Jose metropolitan apartment market has fortified its position as one of the most durable multifamily markets in the country. As the apartment construction pipeline contracted amid positive leasing activity, effective rent and occupancy grew at a healthy clip during the last year. The 7.5% market effective rent growth significantly outpaced the 1.3% national average as Greater San Jose apartment operators recorded a 97.4% occupancy rate in the second quarter of 2026, compared to the 95.5% U.S. mean. The gap between the national and the local apartment occupancy rate widened in the last year as net absorption across San Jose outpaced deliveries by a more than two-to-one ratio. A particularly notable trend has been the concentration of rent and occupancy gains within the market's most affluent submarkets in the last year. The South Sunnyvale/Cupertino and the Mountain View/Palo Alto/Los Altos submarkets led the rise in occupancy over the prior four quarters as renters have increasingly gravitated toward the core innovation corridors with access to major technology employers, venture capital activity, and emerging artificial intelligence firms. These two areas have also seen limited inventory come online and reached stabilization in recent years. As apartment operators were faced with positive net absorption and limited new competition, effective rent increased 8.3% in the South Sunnyvale/Cupertino submarket and 5.7% in the Mountain View/Palo Alto/Los Altos submarket year over year.

Effective rent and occupancy reflect stabilized properties and does not include preleased units or properties in lease-up. A newly constructed property is considered stabilized once it becomes 85% occupied.

BERKADIA

© 2026 Berkadia Proprietary Holding

San Jose vs. National Effective Rent & Occupancy



Source: RealPage

BERKADIA

© 2026 Berkadia Proprietary Holding

Rent & Occupancy

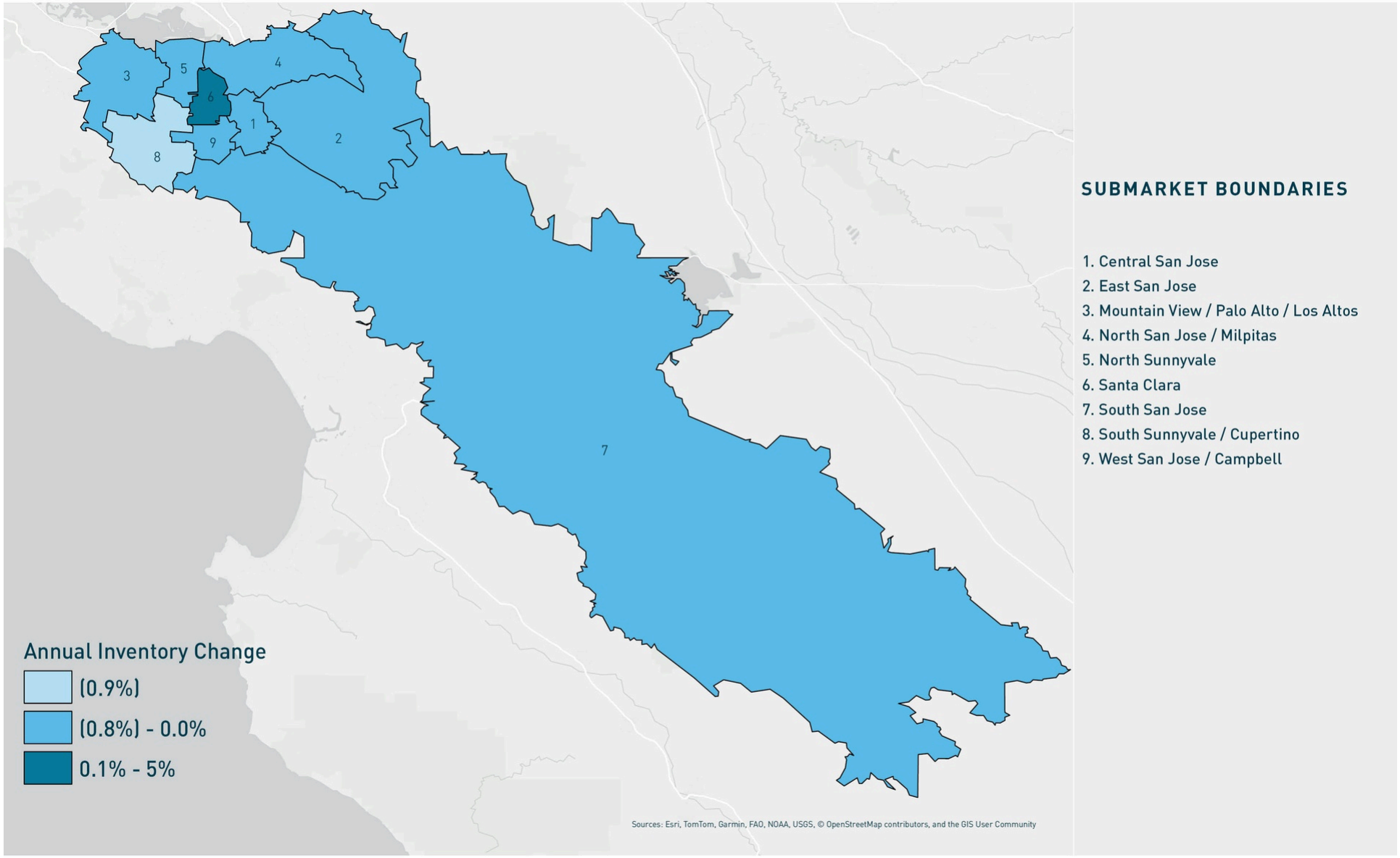
Submarket Performance

Submarket Name	Q2 26 Occupancy	YOY (BPS)	Q2 26 Effective Rent	YOY
Central San Jose	97.0%	50	$3,276	5.9%
East San Jose	96.9%	0	$2,959	5.5%
Mountain View/Palo Alto/Los Altos	97.5%	120	$3,930	5.7%
North San Jose/Milpitas	97.9%	70	$3,583	7.6%
North Sunnyvale	98.1%	50	$3,746	8.5%
Santa Clara	97.1%	40	$3,716	8.4%
South San Jose	96.9%	80	$3,171	7.3%
South Sunnyvale/Cupertino	97.8%	130	$3,777	8.3%
West San Jose/Campbell	96.9%	100	$3,116	4.5%

Source: RealPage

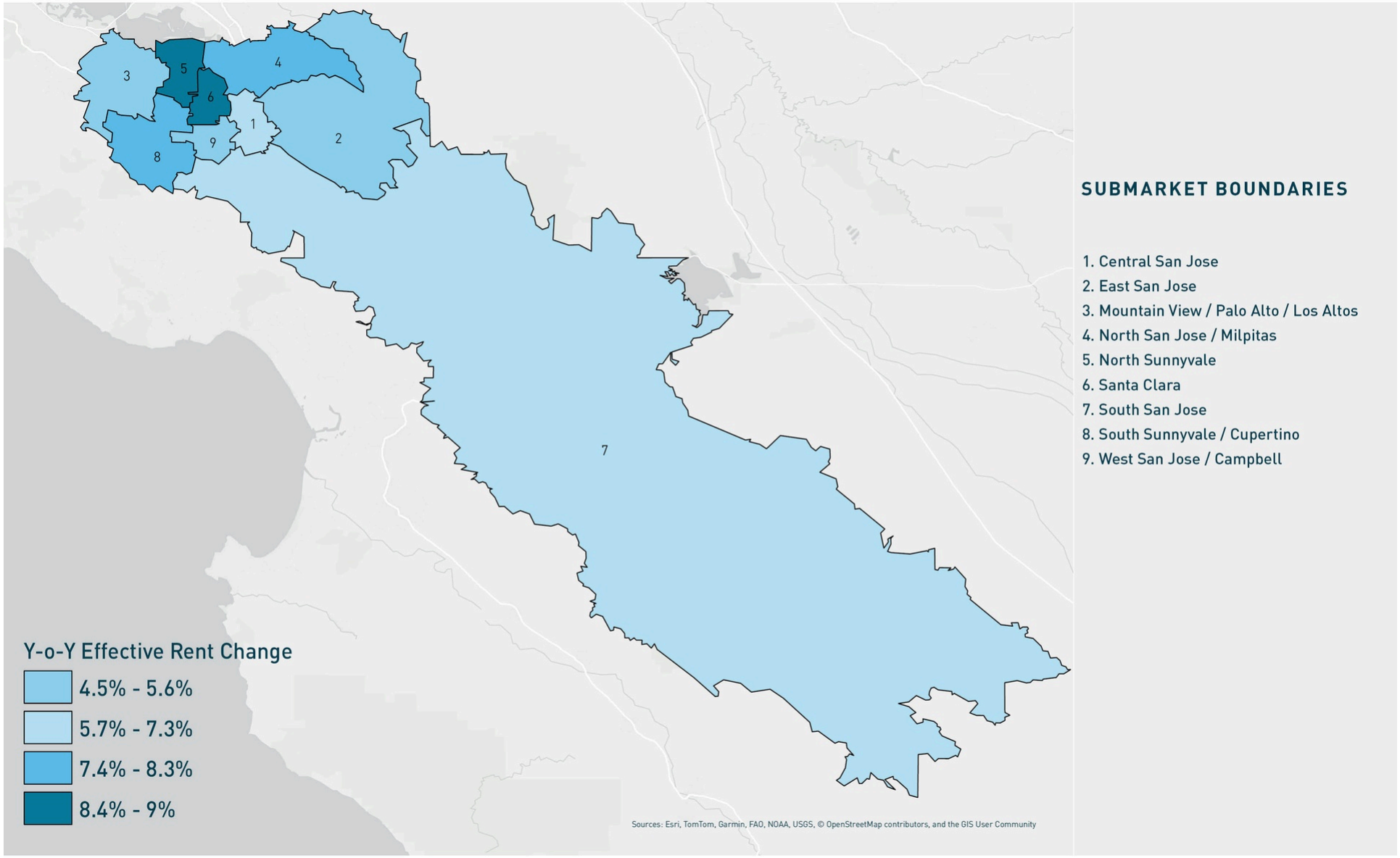
© 2026 Berkadia Proprietary Holding

Submarket Mid-Year 2026 Annual Inventory Change



Source: RealPage

Submarket Mid-Year 2026 Annual Effective Rent Change



Source: RealPage



© 2026 Berkadia Real Estate Advisors LLC

Berkadia® is a trademark of Berkadia Proprietary Holding LLC Commercial mortgage loan origination and servicing businesses are conducted exclusively by Berkadia Commercial Mortgage LLC and Berkadia Commercial Mortgage Inc. This website is not intended to solicit commercial mortgage loan brokerage business in Nevada. Investment sales and real estate brokerage businesses are conducted exclusively by Berkadia Real Estate Advisors LLC and Berkadia Real Estate Advisors Inc. For state licensing details for the above entities, visit: www.berkadia.com/legal/licensing.aspx

The information contained in this flyer has been obtained from sources we believe to be reliable; however, we have not conducted any investigation regarding these matters and make no warranty or representation whatsoever regarding the accuracy or completeness of the information provided. While we do not doubt its accuracy, we have not verified it and neither we, nor the Owner, make any guarantee, warranty or representation of any kind or nature about it. It is your responsibility to independently confirm its accuracy and completeness. Any projections, opinions, assumptions or estimates used are for example and do not necessarily represent past, current or future performance of the property. You and your advisors should conduct a careful and independent investigation of the property to determine to your satisfaction the suitability of the property and the quality of itstenancy for your records.

BERKADIA®

How to

Download Your Report



1 / Hover

Hover your mouse in the lower, right-hand-corner of your presentation on any slide of choice



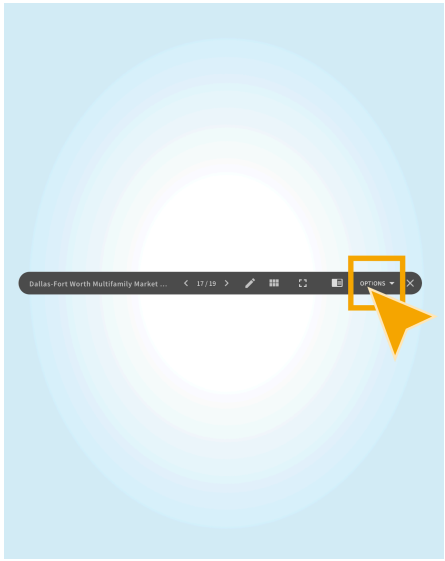
2 / Pop-Up Appears

The following pop-up menu will appear



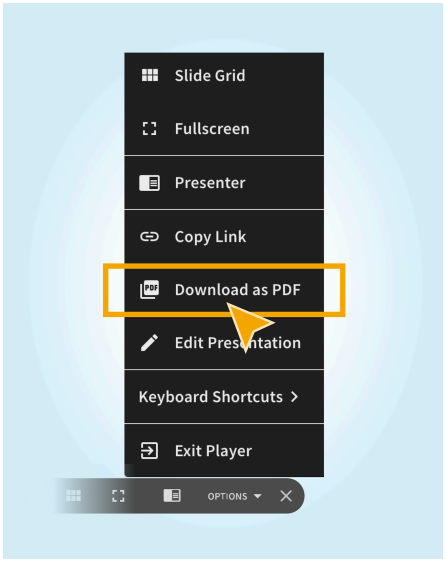
3 / Click on Icon

Click on the three-lined icon (hamburger menu). Located on the far right side of the panel



4 / Select "Options"

The following pop-up will appear. Select “Options” from the panel



5 / Download PDF

Select "Download PDF" from the menu

© 2026 Berkadia Proprietary Holding

All Markets

2026 Mid-Year Reports

Albuquerque
Ann Arbor
Atlanta
Austin
Baltimore
Baton Rouge
Birmingham
Boise
Boston
Charleston, SC
Charlotte
Chicago
Cleveland
Colorado Springs
Columbus
Dallas-Fort Worth
Denver
Detroit
El Paso
Greenville, SC
Houston
Indianapolis
Inland Empire
Jacksonville
Kansas City
Las Vegas
Los Angeles
Louisville
Memphis
Milwaukee
Minneapolis-St. Paul
Nashville
New Orleans
North Port-Bradenton-Sarasota
Northern New Jersey
Northwest Arkansas
Orange County, CA
Orlando
Pensacola
Philadelphia
Phoenix
Pittsburgh
Portland
Raleigh-Durham
Reno
Richmond
Sacramento
Salt Lake City
San Antonio
San Diego
San Francisco-Oakland
San Jose
Savannah
Seattle-Tacoma
South Florida
St. Louis
Tallahassee
Tampa-St. Petersburg
Tucson
Virginia Beach
Washington, D.C. Metro
West Michigan

National